Subject Code: DM-601 *Paper ID:26001*

GNIOT Institute of Management Studies – PGDM (Batch 2022-24)

(TRIMESTER –VI) END TERM EXAMINATION, MAY-2024

Business Ethics and Corporate Social responsibility

[Time: 2 Hours 30 Minutes] *[Maximum Marks: 70]*

Following are the course outcomes of the subject: - *Business Ethics and Corporate Social responsibility*

CO	Course Outcome (CO)
CO1	Develop a deep understanding of business ethics, including ethical theories and principles.
CO2	Analyze and apply ethical frameworks to real-world business scenarios.
CO3	Evaluate the role and impact of corporate social responsibility in business strategy.

(Note- Faculty can add the more CO's as per their subject.)

SECTION-A

Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)

Q.1	Marks	CO
A	**4**	CO – 1
B	**4**	CO – 1
C	**4**	CO – 1
D	**4**	CO – 1
E	**4**	CO – 1

SECTION-B

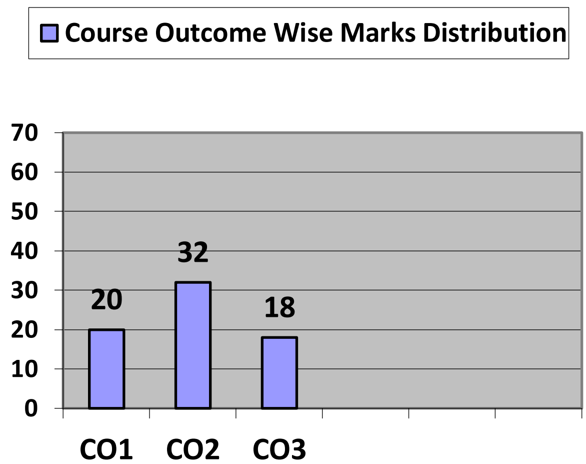
Attempt any 3 questions out of the following: (Long Answer Type Questions)

Q. No	Marks	CO
2 (A)	**8**	CO – 2
2 (A)	**8**	CO – 2
2 (B)	**8**	CO – 2
2 (B)	**8**	CO – 2
3 (A)	**8**	CO – 2
3 (A)	**8**	CO – 2
3 (B)	**8**	CO – 2
3 (B)	**8**	CO – 2

SECTION-C

Attempt all parts of the following: (Caselet / Numerical)

Question	Marks	CO
4 (A)	**9**	CO – 3
4 (B)	**9**	CO - 3



Moderated By **Head- IQAC** **Dean - Examinations**

Printed Pages: 2

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[Time: 2 Hours 30 Minutes] ***[Maximum Marks: 70]***

INSTRUCTIONS:
(i) ***There are THREE sections in this question paper.***
(ii) ***Attempt questions from each section as per the directions.***
(iii) ***Make suitable assumptions wherever necessary.***

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following: ***(5×4=20)***

(a) Explain the concepts of Egoism and Utilitarianism.
(b) Explain Walton's model of business conduct.
(c) Highlight the importance of corporate governance in India.
(d) Explain key drivers of CSR in India.
(e) Explain social contract theory.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following ***(4×8=32)***

(a) Explain business ethics. Highlight its need and importance in Indian context.

OR

(a) Give your opinion that how CSR can be used as a strategic business tool for sustainable development.

(b) Highlight current trends and opportunities in CSR.

OR

(b) Explain the rights and privileges of shareholders as Companies Act, 2013

Q.3. (a) Explain the role of Indian ethos in managerial practices.

OR

(a) Write the procedure of appointment of an Auditor in a company. Elucidate duties of Auditor.

(b) Give your opinions on ethical dilemmas and explain that how it impacts the business decision making?

OR

(c) Explain the objectives and scope of business ethics

SECTION-C

Ben is an experienced sales representative at a large multinational information technology company. He's worked there for years and has developed strong friendships within the company, especially with other sales reps. Ben has been good friends with Michael, another sales rep, since they joined the company around the same time.

Over the last months, Michael shared some personal struggles with Ben, and Ben was doing his best to be a supportive friend. Ben knew that Michael was dealing with some serious financial issues at home and that he was barely making ends meet, trying to support his wife and young kids while also having to financially support his aging parents. Michael let on that he was taking some risky moves at work to come up with some more money and that he was really starting to worry about it. But he never fully disclosed what that entailed.

Unexpectedly, Michael abruptly left the company, leaving Ben shocked and suspicious about the true nature of his colleague's activities. Ben was assigned to take over Michael's sales territories and get back on track. During the transition, he discovered the extent of the financial harm that the company suffered as a result of Michael's actions. Through careful examination of sales transactions and accounting records, it became evident that Michael had engaged in a fraudulent scheme.

Michael had orchestrated a deal with an external company whereby he booked a large number of orders with delayed delivery dates. He received upfront commission payments (meaning he was paid the commission when the sale was made but not when the order was fulfilled) by his own company for nearly one hundred orders, and then split that commission with the external company. In collaboration with the external firm, Michael continuously pushed back the delivery dates every few months, ensuring the orders were never fulfilled. Despite the absence of payment from the external company, the tech company continued paying commission to Michael for these fictitious sales. Essentially, Michael was being compensated for sales that were listed as orders but that were never actually fulfilled (payment for the sale was due on delivery).

Reflecting on their past conversations, Ben grew increasingly uneasy, realizing that Michael's desperate need for quick money through sales commissions had likely driven him to engage in this fraudulent behavior. Ben felt a sense of responsibility and questioned whether he could have prevented the situation, and now, with Michael gone from the company with no repercussions, he wondered what all of this would mean for him.

As Ben assumed the responsibility of taking over Michael's sales territory, the company began an internal investigation to seek any information that could shed light on the issue. This presented Ben with a moral dilemma. During the investigation, Ben was asked if he knew any information that might help the company understand and resolve the issue. Michael's actions - the deceit, dishonesty, and disregard for responsibility - deeply troubled Ben as they clashed with his own moral compass.

While Ben wanted to uphold his personal integrity as an individual and an employee, and disclose all he knew to the company, he worried that doing so might jeopardize his own position and potentially lead to termination if he were deemed complicit in Michael's actions. Additionally, Ben empathized with Michael's difficult circumstances, understanding that he only resorted to fraud out of desperation. A part of him felt inclined to protect his friend and maintain their friendship, despite the wrongdoings committed.

Feeling caught between conflicting interests, Ben wondered: should he choose to remain silent and move on as quickly as possible, now that Michael has left the company, and avoid giving any information? After all, exposing the truth could lead to serious consequences for Michael, who was already dealing with significant challenges. It could also cost Ben his friendship. But, even if the fraud was wrong, Ben knew his huge company would not really feel a big financial hit from the loss and that the product in question was not a life-or-death matter. Not every wrong can or even should be righted, Ben thought. Moreover, his job and his reputation as a sales rep and his company's image might all be at stake if he speaks up.

What should Ben do?

Q.4. Attempt all parts of the following: ***(2×9=18)***

4(a) Please identify what you think are the most significant ethical values at stake in Ben's decision? It will be important to identify these values on all sides of this dilemma.

4(b) What actions can Ben take to reconcile loyalty to his friend, his commitment to integrity, and his own professional well-being?